

Any final words?

When I was in my teens, my highly insightful father was somehow able to instill in me the discipline of objectively evaluating your own progress. That lesson, more than anything else, has been critical to my success.



Woodruff's views, confirmed by his long-term success, provide four important insights about trading systems:

1. It is possible to find systems that are neither trend following nor countertrend that work better than either of those more common approaches (judging by the comparison of Woodruff's return/risk to the return/risk of the universe of systematic traders).
2. It is possible to apply data mining techniques to search huge quantities of data to find useful patterns without necessarily falling victim to curve fitting. (Although, as an important caveat, most people trying to do so will misuse the approach and end up finding patterns that worked very well in the past, but fail in actual trading.)
3. Old price data (e.g., data 30 years old) can be nearly as meaningful as recent data.
4. Systems that work well across many markets are more likely to continue to work in actual trading than systems that do well in specific markets. The lesson is: Design systems that work broadly rather than market-specific systems.

Woodruff's core risk management technique—adjusting position sizes in line with changing overall volatility—has applicability to a wide range of traders, even those who don't use a systematic approach. As markets become more volatile, Woodruff will trade a smaller number of contracts for the same asset size. Woodruff uses the average dollar range in contract value for each market traded as the metric for adjusting portfolio exposure. Using this approach, Woodruff has been able to maintain his portfolio volatility close to the desired target level, despite widely fluctuating volatility over the past 20 years.

As I have found to be true of virtually all successful traders, Woodruff developed a methodology that suited his personality. He felt a deep inner